

Daily Multibagger Coverage Report — 2026-09-17

One stock picked at random, without repeats until each list cycles through, from four market-cap bands. **Nifty 50 is a reliable list; the Midcap 100 / Smallcap 250 / Microcap 250 lists are hand-curated representative samples, not a live scrape of the official NSE index membership** — those official sources were unreachable from this environment. Every figure below is tagged by the framework's own Tier 1-5 source hierarchy in the underlying dossier files; most of today's figures are Tier 3 (aggregator-via-search) or Tier 5 (reconstructed/approximate), **not** Tier 1/2 verified. Treat this as a directional screen, not investment research.

Today is the most eventful day of the week: two genuine near-misses on the engine-growth gate (the graduated band added in v2.2 actually triggering, not just theoretical), and a live, current governance red flag at Aavas Financiers.

Nifty 50 — Bajaj Finserv Limited (BAJAJFINSV.NS)

Financials — Diversified Holding Company (Lending, Life & General Insurance)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [6 of 10] Return bridge (N1): 3.0x / 10yrs = 11.6% p.a. -> EPS CAGR 12.7% x re-rating -1.0% | earnings share 109.1% Engine growth (5e): ROIIC 409.0% x RR 3.9% = 16.1% vs 12.7% required revenue-driven CAGR — CLEARS (see BFSI note) Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — not a scored concept for a holding company Industry phase (6A): INFLECTION — clears MQF governance: ACCEPTABLE (75.0/100) Price vs bridge: ABOVE Failed gates: Runway/profit pool, Return bridge closes, Variant perception, MQF governance ``

Why: The strongest gate-clearance of the week — engine growth clears, industry phase clears, moat trajectory clears. Allianz's full exit from the insurance JVs (Bajaj Group's stake rising 74%→~97% through Jan-Mar 2026, cutting the minority-interest earnings drag) is a real, evidenced catalyst — but it's already widely reported, not a hidden edge, so no credible mispricing case could be built. Moat rated modestly (only cross-sell GREEN, inherited from subsidiary Bajaj Finance) rather than borrowing the subsidiary's full strong profile for the holding company.

BFSI note: the >400% ROIIC and engine "CLEARS" result reflect the same known Section 5e artifact — a holding company has almost no fixed-asset base relative to subsidiary earnings. Flagged, not trusted as real signal, though not decisive here since other gates independently fail.

Data quality: Well-sourced (Tier 3): FY25 consolidated revenue/PAT, PAT attributable to shareholders, segment PBT split, promoter holding, the Allianz JV-exit timeline. A genuine P/E discrepancy across aggregators (17x-184x depending on EPS basis) was found and correctly resolved to 33x via independent arithmetic cross-check. Flagged Tier 5: full balance-sheet series.

Nifty Midcap 100 (sample) — Balkrishna Industries Limited (BALKRISIND.NS)

Auto Components — Off-Highway/Specialty Tyres (agriculture, construction, mining)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [5 of 10] Return bridge (N1): 1.8x / 5yrs = 12.5% p.a. -> EPS CAGR 20.7% x re-rating -6.8% | earnings share 159.8% Engine growth (5e): ROIIC 11.8% x RR 168.5% = 19.8% vs 20.7% required revenue-driven CAGR — NEAR-MISS (soft-fail, caps at Steady Compounder) Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate

Industry phase (6A): MATURE + share-flat – caps at Steady Compounder MQF governance: ACCEPTABLE (68.0/100) Price vs bridge: ABOVE Failed gates: Runway/profit pool, Industry phase, Variant perception, MQF governance ``

First real trigger of the v2.2 graduated engine-growth band: g=19.8% against a 20.7% requirement is a genuine near-miss (98% of the bar), correctly soft-failing to a Steady Compounder cap rather than a hard WEAK/IGNORE — exactly the behavior that fix was built for. But the underlying picture doesn't support a bull case regardless: pricing power was rated RED/ERODING on real evidence (FY26 consolidated PAT -25% YoY despite +3.6% revenue growth, six-quarter margin erosion from ~25.4% to ~21.4%). At ~31x trailing earnings vs a ~21x sector median while PAT just fell 25%, the valuation and the fundamentals point in tension, not toward an undervaluation case — N7 honestly left unanswered.

Data quality: Well-sourced (Tier 3): consolidated revenue/PAT FY22-26, EBITDA margins, promoter holding (0% pledge confirmed), revenue-geography mix. Flagged Tier 5: most of the balance-sheet series; a genuine unreconciled FY25 PAT discrepancy (Rs1,628Cr vs Rs1,654.96Cr across sources) disclosed rather than papered over.

Nifty Smallcap 250 (sample) — Granules India Limited (GRANULES.NS)

Pharmaceuticals — Vertically Integrated API/Finished-Dosage (US generics)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK – consolidated gates passed [4 of 10] Return bridge (N1): 2.0x / 5yrs = 14.9% p.a. -> EPS CAGR 17.6% x re-rating -2.4% | earnings share 117.2% Engine growth (5e): ROIIC 16.2% x RR 43.3% = 7.0% vs 15.3% required revenue-driven CAGR – FAILS Moat class (5b): MODERATE – MATM anchor applied 1.25x Runway/profit pool (6B): No addressable profit pool stated – cannot evidence gate Industry phase (6A): MATURE + share-flat – caps at Steady Compounder MQF governance: ACCEPTABLE (65.5/100) Price vs bridge: ABOVE Failed gates: Engine growth, Runway/profit pool, Industry phase, Promoter alignment, Variant perception, MQF governance ``

Why: A genuine, evidenced margin recovery (FY24 trough to FY26: EBITDA margin 18%→22.1%, driven by a real Finished-Dosage mix shift, 65%→~77% of revenue) — but the moat was deliberately rated MODERATE, not WIDE, since pricing power is RED/ERODING (management's own admission of US generic pricing pressure, ~77% North America concentration). Two real governance flags: promoter holding fell from 38.82% to 31.08% around a large recent open-market sale, and there's an unresolved USFDA warning letter (OAI status since Dec-2024) at the Gagillapur facility for contamination-control and data-integrity findings. At a rich ~40x Nifty Pharma multiple with a live compliance overhang, no credible mispricing case either way.

Data quality: Well-sourced (Tier 3, one figure Tier 1-adjacent — a direct FDA.gov hit for the warning-letter detail): FY22-26 revenue/PAT, FY26 EBITDA, promoter holding trend, sector P/E. Flagged Tier 5: most balance-sheet line items; a genuine unresolved shares-outstanding discrepancy (basic vs. post-warrant-conversion count) disclosed rather than silently fixed.

Nifty Microcap 250 (sample) — Aavas Financiers Limited (AAVAS.NS)

Financials — Affordable Housing Finance (informal-income borrowers)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK – consolidated gates passed [5 of 10] Return bridge (N1): 3.0x / 7yrs = 17.0% p.a. -> EPS CAGR 16.8% x re-rating 0.2% | earnings share 98.8% Engine growth (5e): ROIIC 2259.6% x RR 0.7% = 15.1% vs 16.8% required revenue-driven CAGR – NEAR-MISS (soft-fail, see BFSI note) Moat class (5b): MODERATE – MATM anchor applied 1.25x

Runway/profit pool (6B): No addressable profit pool stated – not scored for a lender Industry phase (6A): INFLECTION – clears MQF governance: ELEVATED (61.5/100) – Stage 2 sizing capped at WATCHLIST Price vs bridge: BELOW Failed gates: Moat trajectory, Runway/profit pool, Variant perception, MQF governance ``

Today's most consequential finding. Beyond a routine PE-to-PE ownership change (Kedaara/Partners Group → CVC Capital), a genuinely current governance cluster: the MD/CEO resigned April 2026, and the CFO and CRO both resigned in June 2026 (effective Sept 2026) — coinciding with media reports (company-denied) of a National Housing Bank inspection into ~Rs400-500Cr of alleged loan misclassification. This alone pushed MQF to ELEVATED, capping sizing at watchlist/tracking-position regardless of anything else. The underwriting-model moat (in-house cash-flow assessment for informal-income borrowers) is real but no longer differentiated — now industry-standard among peers (Aptus, Home First, Aadhar Housing) — and AUM growth has decelerated (~25%→~15-16% YoY) as competition intensifies. A second engine-growth near-miss today (90% of requirement).

Note on G3 taxonomy: the agent flagged a real gap — the framework's four-state G3 taxonomy (A/B/C/D) has no clean bucket for "an open regulatory inspection, allegations denied by the company, not yet a formal enforcement action." G3-D was used as the least-inaccurate label, with the substance of the concern carried instead in the MQF pillar scores, which is what actually drove the verdict. Worth flagging for a future framework refinement.

Data quality: Well-sourced (Tier 3): AUM/PAT FY21-25, GNPA/NNPA (1.11%/0.71%), promoter holding, and the CEO/CFO/CRO resignation dates plus NHB-inspection reporting — explicitly tagged ALLEGATION-MEDIA CLAIM/DISCLOSED-UNRESOLVED, not verified fact. Flagged Tier 5: the full balance-sheet series.

Today's summary

Band	Stock	Engine verdict	Compounder tier	Final call
Nifty 50	Bajaj Finserv	WEAK (6/10, clears engine+industry)	WATCH	WATCH
Midcap 100 (sample)	Balkrishna Industries	WEAK (near-miss engine)	WATCH	WATCH
Smallcap 250 (sample)	Granules India	WEAK	WATCH	WATCH
Microcap 250 (sample)	Aavas Financiers	WEAK (near-miss engine)	WATCH	WATCH

Fifth day, fifth day with no BUY/ACCUMULATE — but today validated two things about the engine itself rather than just the stocks: the graduated near-miss band (added in v2.2 after finding zero real trigger cases in the original backtest) fired twice, correctly distinguishing "close but not there" from "no engine at all." And Aavas surfaced a real limitation in the G3 promoter-integrity taxonomy worth carrying into a future revision. Two governance-driven findings this week (Aavas today, Ujjivan SFB and Sharda Cropchem's promoter-holding drift earlier) reinforce that MQF and Section 5f are doing real work, not just decoration.

Full dossiers with per-field source tiers:

multibagger/sample_data/daily/{BAJAJFINSV,BALKRISIND,GRANULES,AAVAS}.json.